

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-11

IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV,

— vs. —

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

INFORMAL DOCKET NO.: 1953(I)

KAIRAT NURGAZINOV,

— vs. —

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

**COMPLAINANTS' RESPONSE TO RESPONDENTS MOTIONS TO STRIKE STATUS
REPORTS COUCHED AS AN "OBJECTION" TO
COMPLAINANTS' SECOND AND THIRD "UNAUTHORIZED SUR-REPLY"**

Pursuant to Rules 69 and 71 of the Federal Maritime Commission's (the "Commission") Rules of Practice and Procedure (46 C.F.R. 502 *et seq.*), Complainants, by their Counsel, Marcus A. Nussbaum, Esq. respectfully submit this response to respondents' motions to strike and for other relief in the guise of an "Objection" To Complainants' Second and Third "Unauthorized Sur-Reply", filed on February 13, 2019 and July 8, 2019 (Documents 196 and 199).

While both filings purport to be a "Response" to a "Sur-Reply", which do not make reference to any of the Commission's Rules of Practice and Procedure ("RPP"), respondents repeatedly request that the Commission grant various forms of relief against Complainants and

the undersigned. Accordingly, complainants can only conclude that these filings are motions to which complainants respectfully submit that they have a right to respond.

As stated repeatedly on the record (most recently in Complainants' Response to Respondents Motion for Who Knows What, filed on July 31, 2018 [Document 190]), complainant reiterate their objection to respondents' violation of the RPP, by submitting an unsolicited motion in the guise of a "Response", filed in response to Complainants' recent Status Report. Respondents' 'Response' is not a 'Response' at all; rather, said purported Response is another example of respondents' counsel, disingenuously using procedural contrivances as a "trojan horse" to repeatedly take "additional bites at the apple", by asserting requests for affirmative relief that the Commission: (1) "ignore complainants' filings" (to wit: strike and correct the record), specifically, Complainants' Status Reports of January 28, 2019 (Document 194); and June 10, 2019 (Document 197); and (2) "consider" respondents "response".¹

In drafting their recent motion to which this responds, respondents' counsel has ignored the RPP regarding the ten (10) page limit for non-dispositive motions and has not sought leave to file a brief exceeding the limit.² Respondents also failed to follow the rules that: (i) requests for action by the Commission or Presiding Officer be made by motion, not by letter or email request; and (ii) respondents confer before making a non-dispositive motion and show such conferral in their motion. Respondents' Motion to Strike and for other relief is a non-dispositive motion, as it is not a "motion for a final determination of all or part of [this] proceeding." Rule 69(g).³

¹ As to the actual substance of the 'Responses' we simply note in passing that the papers contain nothing but incomprehensible footnotes and continuing *ad hominem* personal attacks.

² Rule 71(d) provides as follows: Neither the motion nor the response may exceed 10 pages, excluding exhibits or appendices, without leave of the presiding officer.

³ Rule 69(g) provides that: For the purposes of these rules, dispositive motion means a motion for decision on the pleadings; motion for summary decision or partial summary decision motion to dismiss all or part of a proceeding or party to a proceeding; motion for involuntary dismissal; motion for initial decision on default; or any other motion for a final determination of all or part of a proceeding. All other motions, including motions related to discovery, are non - dispositive motions."

Rule 71(a) applies to such motions, and requires that (i) [b]efore filing a non-dispositive motion, as defined in 5026.9(g)[,] the parties **must** attempt to discuss the anticipated motion"; and (ii) "[t]he moving party **must** state within the body of the motion what attempt was made or that the discussion occurred and whether the motion is opposed". The Commission has also made it clear that email requests for affirmative relief will not be accepted. Mr. Jeffrey has repeatedly referred to these requirements as a condition precedent to relief.

Further, the only manner in which complainants could inform the Commission on new facts as to: (1) respondents' "coordinating litigation counsel", Jon Werner, Esq. who provided Jeffrey with documents and factual guidance pertaining to this matter⁴ (See, Respondents' Response to Complainants' Motion in the Guise of a Brief in Response, dated August 22, 2016 [Document # 96] on FMC Docket No.: 15-11, at p.4); (2) information regarding the civil and criminal proceedings involving Kapustin and his recent emails regarding respondents' misrepresentations of fact in this matter; and (3) respondents' preparation of documents on Kapustin's behalf, was via a Status Report which does not request affirmative relief.⁵

⁴ The Commission may also be familiar with the various email communications between Werner and Kapustin regarding the instant matter which the undersigned previously brought to the Commission's attention, such as an email wherein Werner provides Kapustin with "shipping documents to review" in this matter, explaining "We recently received the attached documents from Mr. Nussbaum and kindly ask you to review them", as well as the undersigned's Certification of July 31, 2018, annexed to Complainants' Response To Respondents Motion For Who Knows What (Document #190, FMC Docket No.: 15-11), wherein the undersigned explains that no such "shipping documents" (annexed as Appendix "3" to the Certification) were ever provided to Mr. Werner or Lyons & Flood LLP (Certification at ¶5), and that Werner has not formally appeared as counsel for respondents in this matter.

⁵ Inasmuch as Mr. Jeffrey considers himself to be the keeper of the RPP, the Commission may also be familiar with "Respondents' Reply to Complainants' Motion for Who Knows What" (Document # 110 on FMC Docket No.: 15-11, at p. 2) wherein counsel makes reference to a May 3, 2016 email from the FMC Office of Administrative Law Judges to undersigned and other Counsel in Docket No. 16-07 explaining that "Please be advised that pursuant to the Initial Order, letter and email filings will not be accepted. To ensure that filings are properly docket, all filings should be in the form of a status report or a motion if requesting action". It would seem that despite the foregoing, Mr. Jeffrey considers himself to be the only one to whom the RPP do not apply, for example when on February 13, 2019, Mr. Jeffrey, without making a motion, sought to replace his February 12, 2019 filing referred to above (which contained grossly false statements of fact), and asking for that relief by email (See, FMC Docket No.: 15-11, Document # 197, Appendix "C") to wit: replacement of the February 12, 2019 filing) from "Rachel" and "Sam", which was granted by the Office of the Secretary without a formal motion being made by respondents (see, Document #196 on this Docket). Mr. Jeffrey may also be familiar with the Initial Order of November 24, 2015 (Document 4) filed in this matter, which explains on page "3" thereof that "Any request for action by the Commission or presiding officer must be made by motion, not by letter or email request."

In Mr. Jeffrey's own words:

"...I was recently reminded in another FMC proceeding that a status report, requested or not, is the way to advise a Presiding Officer of developments where no relief is requested...". See, Respondents' Reply to Complainants' Motion for Who Knows What, dated September 2, 2016 (FMC Docket 15-11, Document 110).

Accordingly, respondents' instant motion to which this responds may be denied in its entirety. Complainants additionally submit the following arguments in detail below for the Commission's consideration, as to the substance of respondents' brief.

I. RESPONDENTS' "COORDINATING LITIGATION COUNSEL" WHO ALLEGEDLY PROVIDED DOCUMENTS FOR USE BY RESPONDENTS IN THESE PROCEEDINGS AND WHO DIRECTLY CONTACTED KAPUSTIN TO PROVIDE HIM WITH "SHIPPING DOCUMENTS TO REVIEW" IN THIS MATTER WAS DISQUALIFIED FROM REPRESENTING RESPONDENTS AFTER HAVING BEEN EXPOSED FOR LYING TO A FEDERAL JUDGE ON BEHALF OF RESPONDENTS

Respondents have in their recent filings to which this responds, attempted to downplay the significance of a Federal Judge's decision to disqualify respondents' counsel, Jon Werner, Esq. from representing them in the related litigation ongoing in the U.S. District Court for the District of New Jersey. In their filing of February 13, 2019 (Document 196) respondents explain in footnote "2" thereof that:

"[t]here is no reason to address at any length Complainants' incomplete and misleading claims about Mr. Werner, who is not counsel herein. Complainants omit to tell the Commission that, after Mr. Hitrinov explained that the inaccurate statement Mr. Werner made to the court was the result of a miscommunication between Mr. Hitrinov and Mr. Werner, Judge Hillman canceled the traverse hearing and has thus far declined to take any disciplinary action against Mr. Werner."

As set forth above, respondents have explained in this matter that Mr. Werner was "coordinating litigation counsel" for respondents and that Werner provided Jeffrey with various documentation used by respondents in this matter. To the extent that issue of Werner's credibility, as well as the authenticity of the documentation produced by respondents herein may be relevant for the Commission, the following information is provided in order complete the

picture as to Werner's disqualification as counsel.⁶ On June 28, 2019, the Honorable Judge Noel Hillman issued an Order (annexed hereto as Appendix "A") directing that Werner's representation of respondents herein is "...terminated due to a concurrent conflict of interest, as per the Court's comments at the October 5, 2018 hearing in this action." The Order further states that "The motion of Michael Hitrinov to keep Jon Werner, Esq. as his attorney is DENIED".

As to "the Court's comments at the October 5, 2018 hearing", the Commission is already familiar with the basis for Judge Hillman's decision to disqualify Werner and his law firm (after having been exposed for lying to the Court) and which is set forth in detail in Complainants' Status Report (Document 194 filed on January 28, 2019) which respondents have now moved to strike by way of their filings to which this responds. That Status Report cites the relevant portion of the transcript from the October 5, 2018 hearing, and the Commission is respectfully referred to said Status Report to the extent necessary on the issue of the credibility of respondents' counsel and the Affirmation submitted by him as well as the authenticity of documents attached thereto these proceedings.

II. RESPONDENTS HAVE DISINGENUOUSLY ATTEMPTED TO DOWNPLAY THEIR WITNESS TAMPERING OF KAPUSTIN AND THEIR DEATH THREATS VIS-À-VIS COMPARING HIM TO THE "DECEASED MR. BEREZOVSKY" AS AN "ONGOING, INSIDE JOKE"

The Commission may recall that on July 31, 2018 in complainants' filing on the Commission's docket in this matter, the undersigned advised the Commission that Werner had threatened Kapustin, comparing him to the "deceased Mr. Berezovsky" and refers to respondents' demand (communicated by Werner to Kapustin) for a payment of \$35,000,000. The Commission may also recall that in said demand, Werner states that his clients are seeking a "...possible reasonable resolution of their claims against [Kapustin] and [his] companies". (See,

⁶ We again note that Werner never filed a Notice of Appearance as required by Rule 23 of the Commission's RPP.

Complainants' Response To Respondents Motion For Who Knows What, dated 7/31/2018, Document #190, Docket No.: 15-11, at p.4).

On page "24" of respondents' July 8, 2019 "Objection" to which this responds, the respondents explain that "it was Kapustin who first raised the name of Mr. Berezovsky" and respondents provide the print-out of an email between Kapustin and Jeffrey (annexed to their "Objection" as Attachment "H"), dated June 2, 2015 (not dated June 1, 2015 as claimed by respondents). In the first instance, in making the foregoing argument, Mr. Jeffrey appears to be defending Werner's threatening statements to Kapustin, and it would also appear that Mr. Jeffrey is in possession of previously undisclosed communications between Werner and Kapustin.

If Mr. Jeffrey were to translate the email in Attachment "H" (which looks like an excerpt of an email chain between Werner and Kapustin), he would understand that the email is an answer from Kapustin in response to the demand that Kapustin pay the sum of \$35,000,000. Said email appears to indicate that Kapustin communicates with Werner in Russian, which is spelled phonetically in English.⁷ Respondents' discussion of "who first raised the name of Mr. Berezovsky" is simply a distraction inasmuch as the critical issue is respondents' attempted witness tampering in these proceedings, and that Kapustin understood respondents' statements to be a threat against him. He has explained that he understood respondents' to mean: "you were not as rich as Mr. Berezovsky. Mr. Berezovsky is already in the grave and you are still walking around". (See, FMC Docket No.: 15-11, Document #197, dated 06/10/2019, at p.6, 22). The undersigned's July 31, 2018 Certification also contained additional information from Kapustin (going back to March 28, 2016) as to respondents' threats of physical violence.⁸

⁷ Beginning on August 15, 2015, the undersigned personally received a series of emails which were forwarded by Kapustin and which appears to be part of an ongoing conversation between Kapustin and Werner, who appears to completely understand and timely respond to all of Kapustin's emails (See, Certification of Marcus A. Nussbaum Document #190, dated 07/31/2018 at Appendix "1").

⁸ See, Certification of Marcus A. Nussbaum Document #190, dated 07/31/2018 at Appendix "6" thereof for original email in Russian from Kapustin, and English translation at Appendix "7" thereof.

It is respectfully submitted that until Kapustin revealed that his perjury under oath and interference in this matter were orchestrated by respondents who attempted to bribe him and who then later threatened his life, complainants and their counsel were not incorrect in labeling him as a liar, fraud and cheat. Now that it has been fully revealed that Kapustin's actions were taken under duress and under the threat of physical harm to him and his family⁹, there is absolutely nothing 'cognitively dissociative' about taking his current admissions under oath at face value.

III. IRINA KAPUSTINA DID NOT HAVE AUTHORITY TO WRITE THE LETTER OF JANUARY 11, 2012, AND THAT AUTHORITY RESTED SOLELY WITH SERGEY KAPUSTIN WHO WAS RESPONSIBLE FOR OPERATION OF ALL GLOBAL ENTITIES

As to Irina Kapustina's purported letter of January 11, 2012, page "22" of respondents' July 8, 2019 "Objection" alleges that respondents are in possession of the original letter:

"...The original of the letter was sent to the recipient, as letters usually are, and Empire retains possessions of that original."

In the first instance, while complainants decline the invitation to engage counsel in a point-by-point refutation as to nebulous and vague arguments on applicability of judicial estoppel or what may be "ethically dubious", we do invite counsel to 'look in the mirror' as to the latter. As to the subject letter, it contains no indication of the manner in which it was allegedly sent to respondents, and fails to indicate any addressee "as letters are usually sent". Additionally, said letter does not appear to be bates numbered, which it surely would have been if it were to have been produced in the Federal lawsuits involving Kapustin and respondents in both the Eastern District of New York and the District of New Jersey.¹⁰ Further, while respondents attempt to argue that said letter is authentic and that Irina Kapustina allegedly had

⁹ In passing, we also note that these issues may be relevant for the Bureau of Enforcement.

¹⁰ On this issue, the Commission may recall respondents' filing of July 8, 2019 on this Docket (Document 199), wherein respondents allege in footnote "9" that the undersigned had access "to over 10,000 pages produced by Global in the EDNY, as well as a similar number produced by Empire". While patently untrue, common sense dictates that if the undersigned had such unfettered access to Global's records, and specifically, said letter, that it would have been produced during the undersigned's representation of Kapustin et al "in the EDNY". - - As stated before, 'I haven't seen it'.

authority to author it, we note that the letter curiously states that: “If you have any questions please call Sergey Kapustin”. While written in perfect English, the record of all other communications between Kapustina and respondents (e.g. the “10,000 pages” referred to by respondents) indicates that her command of the English language was just as poor as Kapustin’s. (See, e.g., Complainants Response to Order for Parties to Supplement the Record (filed on July 26, 2016, Document 79, at Appendix “A” thereof, Exhb. 12).

Last, and on the issue of who was in charge of operating “Effect Auto Sales”, it would appear that respondents’ counsel has taken issue with and is now arguing against the findings of the U.S. Attorney’s Office (after having conducted a full criminal investigation). A copy of the Information filed by the prosecutor during Kapustin’s criminal case has been provided to the Commission, and states, on page “1” that Kapustin was an automobile dealer who “...sold cars for a living and conducted his business in Elizabeth, New Jersey and Delran, New Jersey, under the name of Global Auto. Kapustin also utilized alternate businesses called “Global Cars, Inc.”, “G” Auto Sales and “Effect Auto Sales” (collectively herein “Global”) which he often/occasionally substituted for Global”. (See, FMC Docket No.: 15-11, Document 188, filed on July 19, 2018 at Appendix “A”). Put simply, the authenticity of Kapustina’s letter is questionable and conflicts with statements made in her Declaration proffered by complainants in their Response to Order for Parties to Supplement the Record (filed on July 26, 2016, Document 79, at Appendix “C”) warranting further discovery per the case law cited in complainants’ pending Exceptions to the Presiding Officer’s Initial Decision.¹¹ As to Irina Kapustina’s

¹¹ To the extent relevant for the Commission, we also highlight Kapustin’s deposition testimony cited in Complainants’ Status Report of June 10, 2019 (Document 197) in Appendix “A” thereof at p.300/ln. 11-18, 22-23, where he explains that Hitrinov engaged in witness tampering by bribing Irina Kapustina.

Declaration, it was indeed drafted by the undersigned, and was based upon representations made by her during the undersigned's prior representation of Global et al.¹²

A final point is that while respondents claim that Kapustin is not a reliable witness and that complainants were not consignees for the subject automobiles, paragraph "6" of the Criminal Complaint filed against Kapustin (annexed as Appendix "1" to Complainants' Status Report of January 15, 2017, Document 142 on the Docket) explains that CarCont refused to release a car to one of the victims "...without significant additional charges...". This allegation in the Criminal Complaint was made after the U.S. Attorney's Office conducted a complete criminal investigation, including interviews with the victims.

Accordingly, if CarCont refused to release a car to one of the victims without payment of "...significant additional charges", the results of the U.S. Attorneys' criminal investigation is irreconcilable with the current explanation by respondents and their counsel in this proceeding, to wit: that the cars could not be released because: a) respondents could release a car to, and only to Global Cargo OY in Finland, and not to ultimate consignee; b) EUL allegedly did not know who is ultimate consignee for each car; and c) Kapustin allegedly did not provide to EUL the names of ultimate consignees, but regardless, if the victims agreed to pay "...significant additional charges", then there would be no question as to who was the consignee and the cars could be released.

CONCLUSION

In closing, and as set forth above, on the issue of witness tampering by respondents and their counsel in this matter, Kapustin explained under oath that his actions were orchestrated by respondents who threatened his life, and his actions were made under duress and under the threat of physical harm to him and his family via respondents' coordinating litigation counsel, Jon

¹² A final point on this issue is that to the extent that the issue of the authenticity (or lack thereof) of Kapustina's letter is revisited by the Commission, if the letter were deemed to be reliable, the question remains as to what authority Irian Kapustina had, as "president" of Effect Auto, to speak on behalf of the remaining Global entities on the issue of any shipping arrangements with respondents.

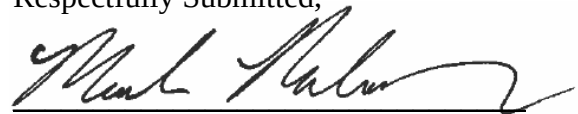
Werner Esq. As to the authenticity of Kapustin's filings with this Commission, it has been explained by him that he never was able to read nor did he prepare, or review any papers or affirmations submitted by him in this matter, which he explains were prepared by respondents (and that Irina Kapustina's command of the English language was similarly poor), raising issues regarding the authenticity of her letter on Effect Auto's letterhead. As to Werner's lack of credibility and the "shipping documents" provided by him, as well as the foregoing issues raised by Kapustin, these may be issues for the Commission that may be relevant to Complainants' Expectations to the Initial Decision.

In conclusion and for the reasons set forth herein (including respondents' violation of the RPP regarding the ten (10) page limit for non-dispositive motions), if the Commission considers Respondents' "Objections" To Complainants' Second and Third "Unauthorized Sur-Reply", filed on February 13, 2019 and July 8, 2019 (Documents 196 and 199) to be motions filed in violation of the RPP, as well as Respondents improper request from the Office of the Secretary to grant relief by email of February 13, 2019, it is requested that the Commission reject and or strike said filings and or deny said motions, including Document # 72 on this Docket (to wit: Motion to Intervene, dated July 13, 2016); and Document #83 on this Docket (to wit: Motion to Further Supplement, dated August 3, 2016).

WHEREFORE, it is respectfully requested that respondents' motions be denied, along with such other and further relief as the Commission may deem just and proper under the circumstances.

Dated: August 28, 2019
New York, NY

Respectfully Submitted,

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", written over a horizontal line.

Marcus A. Nussbaum, Esq.

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **COMPLAINANTS' RESPONSE TO RESPONDENTS MOTIONS TO STRIKE STATUS REPORTS COUCHED AS AN "OBJECTION" TO COMPLAINANTS' SECOND AND THIRD "UNAUTHORIZED SUR-REPLY"** and **APPENDIX** upon Respondents' Counsel at the following address:

Nixon Peabody LLP
Attn: Eric C. Jeffrey, Esq.
799 9th Street NW, Suite 500
Washington, DC 20001-4501

by first class mail, postage prepaid, and via email (ejeffrey@nixonpeabody.com).

A handwritten signature in black ink, appearing to read 'Marcus A. Nussbaum', written over a horizontal line.

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Dated: New York, New York
August 28, 2019